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**Goods and Services Tax Settlement of Funds Rules, 2026 - F. No. S-31011/96/2025-ST-I-DoR- G.S.R. 225(E) - Central GST (CGST)**

**MINISTRY OF FINANCE**

**(Department of Revenue)**

**NOTIFICATION**

**New Delhi, the 30th March, 2026**

**G.S.R. 225(E).—** In exercise of the powers conferred by section 164 read with sections 53 and 53A of the Central Goods and Services Tax Act, 2017 (12 of 2017) and sections 17, 17A, 18 and 22 of the Integrated Goods and Services Tax Act, 2017 (13 of 2017) and in supersession of the Goods and Services Tax Settlement of Funds Rules, 2017 except as respects things done or omitted to be done before such supersession, the Central Government on the recommendation of the GST Council hereby makes the following rules, namely:—

**1. Short title and commencement.—** (1) These rules may be called the Goods and Services Tax Settlement of Funds Rules, 2026.

(2) They shall be deemed to come into force with effect from 1st day of April, 2025.

**2. Definitions.—** In these rules, unless the context otherwise requires, -

(1) (a) “Authorities” means the Board, State Tax Nodal Authority, Principal Chief Controller of Accounts, Central Board of Indirect Taxes and Customs and State Accounting Authorities of the respective States;

(b) “Board” means the Central Board of Indirect Taxes and Customs constituted under the Central Boards of Revenue Act, 1963 (54 of 1963);

(c) “cross utilisation of credit” means utilisation of-

(i) credit on account of Integrated Tax for payment of Central Tax or State Tax or Union Territory Tax; or

(ii) credit on account of Central Tax or State Tax or Union Territory Tax for payment of Integrated Tax, in accordance with the provisions of sections 49 or 49A or 49B of the Central Goods and Services Tax Act, 2017 read with the provisions of sections 49 or 49A or 49B of the concerned State Goods and Services Tax Act, 2017 or section 9 or 9A or 9B of the Union Territory Goods and Services Tax Act, 2017 (14 of 2017) or section 18 of the Integrated Goods and Services Tax Act, 2017, as the case may be;

(d) “Government” means the Central Government;

(e) “input tax credit” means the credit of input tax;

(f) “registered person” means a person who is registered under section 25 of the Central Goods and Services Tax Act, 2017, but does not include a person having a Unique Identity Number;

(g) “reports” means any report specified or otherwise required to be furnished by or under these rules;

(h) “State Accounting Authority” means Accounting Authority of any State notified as such by the concerned State Government;

(i) “State Tax Nodal Authority” means the Taxation Authority of any State notified as such by the concerned State Government.

(2) The words and expressions used and not defined in these rules, but defined in the Central Goods and Services Tax Act, 2017, the concerned State Goods and Services Tax Act, 2017, the Integrated Goods and Services Tax Act, 2017 and the Union Territories of Goods and Services Tax Act, 2017 or in the rules made under any of the said Acts or the aforesaid rules as the case may be.

**3. Electronic transmission of reports.—** The common portal shall transmit reports electronically to the Authorities by the 25th of the month in which Goods and Services Tax returns are furnished:

**Provided** that if 25th of the month is a holiday, then the reports shall be transmitted by the first working day after the holiday:

**Provided further** that if the date of filing of return is extended, then the date of generation of settlement report shall stand extended accordingly.

**4. Report of cross-utilisation and apportionment of Integrated Tax between Centre (Integrated Tax) and State (State Tax) or Central (Integrated Tax) and Centre (Union Territory Tax).—** The details relating to the transfer of funds between Centre (Integrated Tax) and State (State Tax) or Centre (Integrated Tax) and Centre (Union Territory Tax) to be made in a month shall be transmitted by the common portal to the Authorities, in FORMS GST STL - 1.01 to GST STL - 1.12, for each State and Union Territory, as follows, namely:—

(a) a monthly consolidated statement for each State in FORM GST STL - 1.01 containing the details referred to in clause (b) relating to the total amount to be transferred—

(i) from the Centre (Integrated Tax) to the State (State Tax) or the Centre (Union Territory Tax) or from the State (State Tax) or the Centre (Union Territory Tax) to the Centre (Integrated Tax) on account of cross-utilisation of credit as provided in section 53 of the Central Goods and Services Tax Act, 2017, section 53 of the Goods and Services Tax Act of the concerned State (hereinafter referred to as State Goods and Services Tax Act), section 10 of the Union Territory Goods and Services Tax Act, 2017 and section 18 of the Integrated Goods and Services Tax Act, 2017;

(ii) from the Centre (Integrated Tax) to the State (State Tax) or the Centre (Union Territory Tax) on account of apportionment as provided for in section 17 of the Integrated Goods and Services Tax Act, 2017.

(b) the monthly reports containing State-wise details pertaining to the information contained in FORM GST STL – 1.01 are as under, namely:—

(i) list of registered persons of the State or Union Territory who have discharged liability of Integrated Tax by utilising the input tax credit of State Tax or Union Territory Tax or Central Tax, in accordance with section 53 of the Central Goods and Services Tax Act, 2017 or section 53 of the State Goods and Services Tax Act, 2017 or section 10 of the Union Territory Goods and Services Tax Act, 2017 (including cross utilisation by Input Service Distributor), as the case may be, shall be in FORM GST STL – 1.02.

**Note:** The summary of Integrated Tax liability discharged by using the input tax credit of Central Tax and that discharged by using the input tax credit of State Tax or Union Territory Tax shall be reflected in column (3) of both FORM GST STL - 2.01 and FORM GST STL - 1.01 respectively;

(ii) list of registered persons of the State or Union Territory who have discharged liability of State Tax or Union Territory Tax, as the case may be, from the input tax credit of Integrated Tax, as provided under section 18 of the Integrated Goods and Services Tax Act, 2017 shall be in FORM GST STL – 1.03.

**Note:** The summary of liability on account of State Tax/Union Territory Tax discharged from the input tax credit of the Integrated Tax shall be reflected in column (4) of FORM GST STL - 1.01.

(iii) list of registered persons or unregistered persons who have paid Integrated Tax under the following circumstances and which is required to be apportioned as per the provisions of section 17 of the Integrated Goods and Services Tax Act, 2017 shall be as under:-

(A) list of registered persons of a State or Union Territory-,

(I) who have made outward inter-State supply, including distribution of credit by an Input Service Distributor, to unregistered persons or units of another State or Union Territory; or

(II) who have provided online information and database access and retrieval services to unregistered persons of another State or Union territory; or

(III) who have made supplies to SEZ on payment of tax but the refund of the same has not been claimed within the relevant period specified in section 54 of the Central Goods and Services Tax Act, 2017 and the respective State Goods and Services Tax Act, 2017, or the claim of refund has been rejected, either fully or partially; or

(IV) who have made the exports on payment of tax, but the claim of refund has been rejected, either fully or partially, shall be in FORM GST STL – 1.04.

Explanation.- The list specified at clause III or clause IV shall be prepared after taking into consideration the integrated tax paid as may be ascertained on the basis of a Standard Operating Procedure formulated in this behalf.

**Note:** The summary of Integrated Tax to be apportioned as State Tax or Union Territory Tax and Central Tax from this statement shall be reflected in column (5) of both FORM GST STL - 1.01 and FORM GST STL - 2.01, respectively;

(B) list of registered persons of a State or Union Territory who have made outward inter-State supplies to,-

(I) a person paying tax under section 10 of the Central Goods and Services Tax Act, 2017 or to Non-resident taxable persons; or

(II) persons registered under section 51 or section 52 of the Central Goods and Services Tax Act, 2017 of another State or Union Territory; or

(III) such holders of Unique Identification Number who have not claimed refund of the input tax within the time allowed in this regard,

shall be in FORM GST STL – 1.05.

**Note:** The summary of Integrated Tax to be apportioned as State Tax or Union Territory Tax and Central Tax from this statement shall be reflected in column (6) of both FORM GST STL - 1.01 and FORM GST STL - 2.01, respectively;

(C) list of registered persons of a State or Union Territory who have received inter-State inward supplies or have effected imports in respect of which the input tax credit,-

(I) has been declared as ineligible; or

(II) has lapsed due to opting into composition scheme or where the supply has become wholly exempt, as provided for in sub-section (4) of section 18 of the Central Goods and Services Tax Act, 2017 and sub-section (4) of section 18 of the respective State Goods and Services Tax Act read with section 21 of the Union Territory Goods and Services Tax Act, 2017; or

(III) availed in respect of inputs (whether as such or contained in semi-finished or finished goods) or capital goods lying in stock on the day immediately preceding the date of cancellation of registration where the said tax has been paid along with the application for cancellation registration, in accordance with the provisions of sub-section (5) of section 29 of the Central Goods and Services Tax Act, 2017, sub-section (5) of section 29 of the respective State Goods and Services Tax Act, read with section 21 of the Union Territory Goods and Services Tax Act, 2017; or

(IV) tax of the nature specified in sub-item (III.) above that has been paid along with the final return;

(V) where input tax credit is not available, on account of limitation of time period as delineated in sub-section (4) of section 16 of the Central Goods and Services Tax Act, 2017,

shall be reflected in FORM GST STL – 1.06:

**Provided** that the said report in FORM GST STL -1.06 shall be prepared after taking into consideration amounts in respect of such reversals or utilisations of input tax credit as may be ascertained on the basis of a Standard Operating Procedure formulated in this behalf.

**Note:** The summary of Integrated Tax to be apportioned as State Tax or Union Territory Tax and Central Tax from this statement shall be reflected in column (7) of both FORM GST STL - 1.01 and FORM GST STL - 2.01, respectively;

(D) list of registered persons of a State or Union Territory who have received inter-State inward supplies or have effected imports in respect of which the input tax credit remains un-availed till the period specified in clause (c) or clause (f) of sub-section (1) of section 17 of the Integrated Goods and Services Tax Act, 2017, shall, with effect from such date as may be notified in this behalf, shall be reflected in FORM GST STL – 1.07:

**Provided** that the said report in FORM GST STL -1.07 shall be prepared after taking into consideration amounts in respect of such declarations of input tax credit as may be ascertained on the basis of a Standard Operating Procedure formulated in this behalf.

**Note:** The summary of Integrated Tax to be apportioned as State Tax or Union Territory Tax and Central Tax from this statement shall be reflected in column (8) of both FORM GST STL - 1.01 and FORM GST STL - 2.01, respectively;

(E) list of unregistered persons who have made imports in the concerned State or Union Territory, in terms of clause (d) of sub-section (1) of section 17 of the Integrated Goods and Services Tax Act, 2017 shall be reflected in FORM GST STL – 1.08.

**Note:** The summary of Integrated Tax to be apportioned to State Tax or Union Territory Tax and Central Tax from this statement shall be reflected in column (9) of both FORM GST STL - 1.01 and FORM GST STL - 2.01, respectively;

(F) list of,-

(I) composition taxpayers who have received supplies by way of imports on which Integrated Tax has been paid; or

(II) Unique Identification Number holders who have received supplies by way of imports on which Integrated Tax has been paid and who have not claimed refund within the time period specified in this regard; or

(III) persons registered under section 51 or 52 of the Act in a State or Union Territory who have received supplies by way of imports on which Integrated Tax has been paid; or

(IV) composition taxpayers or non-resident taxable persons who have received inward inter-State supplies that are liable to reverse charge,

shall be reflected in FORM GST STL – 1.09.

**Note:** The summary of Integrated Tax to be apportioned to State Tax or Union Territory Tax and Central Tax from this statement shall be reflected in column (10) of both FORM GST STL - 1.01 and FORM GST STL - 2.01, respectively;

(G) list of registered persons in a State or Union Territory who have paid interest on Integrated Tax, and fee deposited for filing advance ruling application under Integrated Goods and Services Tax shall be reflected in FORM GST STL – 1.12.

**Note:** The summary of Integrated Tax to be apportioned as State Tax or Union Territory Tax and Central Tax from this statement shall be reflected in column (11) of both FORM GST STL - 1.01 and FORM GST STL - 2.01, respectively.

**5. Report of cross-utilisation and apportionment of Integrated Tax between Centre (Integrated Tax) and Centre (Central Tax).—** The details relating to the transfer of funds between Centre (Integrated Tax) and Centre (Central Tax) to be made in a month shall be transmitted by the common portal to the Authorities in FORMS GST STL - 2.01 to GST STL – 2.02, as follows, namely:—

(a) a monthly consolidated statement containing State-wise details in FORM GST STL – 2.01 containing details relating to the total amount to be transferred,-

(i) from the Centre (Integrated Tax) to the Centre (Central Tax), or from the Centre (Central Tax) to the Centre (Integrated Tax), as the case may be, on account of cross-utilisation of credit as provided for in section 53 of the Central Goods and Services Tax Act, 2017 and section 18 of the Integrated Goods and Services Tax Act, 2017; and

(ii) from the Centre (Integrated Tax) to the Centre (Central Tax) on account of apportionment as provided for in section 17 of the Integrated Goods and Services Tax Act, 2017;

(b) monthly reports containing State-wise details containing list of registered persons who have discharged liability of Central Tax by utilising the input tax credit of Integrated Tax, in accordance

with the provisions of section 18 of the Integrated Goods and Services Tax Act, 2017 shall be in FORM GST STL – 2.02.

**Note:** The summary of the liability of Central Tax discharged by utilising the credit of Integrated Tax shall be reflected in column (4) of FORM GST STL - 2.01 and the summary of Integrated Tax liability discharged by utilising credit of Central Tax shall be reflected in column (3) of FORM GST STL - 2.01.

**6. Report relating to apportionment of Integrated Tax recovered against demand and admitted amount deposited at the time of filing appeal, between Centre (Central Tax) and State (State Tax) or Centre (Union Territory Tax).—** The details relating to recoveries of Integrated Tax and interest and penalty thereon on the basis of a demand order, or admitted amount deposited at the time of filing appeal or the compounding amount to be made in month shall be transmitted by the common portal to the Authorities in FORMS GST STL - 3.01 to GST STL – 3.02, as follows, namely:—

(a) a monthly State-wise consolidated statement showing a summary of amount recovered as Integrated Tax, and the interest and penalty thereon, or admitted amount deposited at the time of filing appeal or the compounding amount, to be apportioned to State (State Tax) or Centre (Union Territory Tax), and to Centre (Central Tax), shall be in FORM GST STL - 3.01;

(b) list of registered persons in a State or Union Territory from whom recovery of Integrated Tax has been made with interest and penalty thereon, or admitted amount of Integrated Tax deposited at the time of filing appeal or the compounding amount, shall be in FORM GST STL - 3.02.

**Note 1:** The admitted amount of Integrated Tax deposited at the time of filing an appeal shall be reflected in the report for the period during which the concerned appeal is filed.

**Note 2:** The recoveries of Integrated Tax and the interest and penalty thereon on the basis of a demand order shall be reflected in the period during which the amount is recovered in full.

**7. Report relating to apportionment of Integrated Tax amount, where place of supply could not be determined or taxable person making such supply is not identifiable, between Centre (Central Tax) and State (State Tax) or Centre (Union Territory Tax).—** The details relating to the apportionment of Integrated Tax to State (State Tax) or to Centre (Union Territory Tax), and to Centre (Central Tax), to be made in a month shall be transmitted by the common portal to the Authorities in FORMS GST STL - 4.01 to GST STL – 4.03, for each State and Union Territory, as follows, namely:—

(a) a monthly State-wise consolidated statement showing a summary of the apportionment of Integrated Tax to State (State Tax) or Centre (Union Territory Tax), and to Centre (Central Tax), in a particular month relating to Integrated Tax collected in respect of which place of supply could not be determined or the taxable person making such supplies is not identifiable, as provided under the proviso to sub-section (2) of section 17 of the Integrated Goods and Services Tax Act, 2017 shall be in FORM GST STL - 4.01;

(b) list of registered persons from whom Integrated Tax has been collected in respect of which place of supply made by taxable person could not be determined, and is to be apportioned as provided under first proviso to sub-section (2) of section 17 of the Integrated Goods and Services Tax Act, 2017 shall be in FORM GST STL - 4.02;

Explanation:- The list of registered persons of a State or Union Territory who have made exports but the refund of the same has not been claimed within the relevant period prescribed in section 54 or the claim of the refund has been rejected, either fully or partially, on any ground other than the reason specified in rule 4(b)(iii)(A)(III) or 4(b)(iii)(A)(IV) above, shall be included in the report in FORM STL - 4.02.

(c) the details of Integrated Tax collected in respect of which the taxable person making the underlying supplies is not identifiable, and is to be apportioned as provided under second proviso to sub-section (2) of section 17 of the Integrated Goods and Services Tax Act, 2017 shall be in FORM GST STL - 4.03 and this shall be an annual report to be submitted in October each year.

**8. Report relating to reduction of amount to be apportioned to Centre (Central Tax) and State (State Tax) or Centre (Union Territory Tax) due to Integrated Tax apportioned earlier but subsequently refunded.—** (1) The details relating to reduction of amount to be apportioned to Centre (Central Tax) and State (State Tax) or Centre (Union Territory Tax), to be made in a month shall be transmitted by the common portal to the Authorities, in FORMS GST STL - 5.01 to GST STL – 5.04, due to Integrated Tax apportioned earlier but-

(a) subsequently refunded as provided for in sub-section (5) of section 17 of the Integrated Goods and Services Tax Act, 2017; or

(b) ineligible credit on account of the said Integrated Tax apportioned earlier subsequently having become eligible in accordance with sub-section (1) of section 18 of the Central Goods and Services Tax Act, 2017 read with sub-section (1) of section 18 of the State Goods and Services Tax Act, 2017 of the concerned State, section 20 of the Integrated Goods and Services Tax Act, 2017 and section 21 of the Union Territory Goods and Services Tax Act, 2017

shall be in FORMS GST STL - 5.01 to GST STL – 5.03 in the manner hereinafter provided.

(2) (a) a monthly State-wise consolidated statement showing a summary wherein Integrated Tax paid by a taxpayer has already been apportioned but

(i) subsequently refunded to the person due to the provisions of the Central Goods and Services Tax Act, 2017 or the State Goods and Services Tax Act, 2017 of the concerned State or, the Union Territory Goods and Services Tax Act, 2017 leading to a reduction in amount to be apportioned to Centre (Central Tax) or State (State Tax) or Centre (Union Territory Tax), in a particular month as provided for in sub-section (5) of section 17 of the Integrated Goods and Services Tax Act, 2017; or

(ii) subsequently the ineligible credit in respect whereof having become eligible, as referred to in clause (b) of sub-rule (1) above, shall be in FORM GST STL - 5.01;

(b) monthly reports containing State-wise details pertaining to the information contained in FORM GST STL – 5.01 shall be further provided as under, namely:—

(i) list of registered taxpayers the Integrated Tax paid by whom and was apportioned earlier due to the underlying inter-State inward supplies for which input tax credit was ineligible previously but has now become eligible in accordance with sub-section (1) of section 18 of the Central Goods and Services Tax Act, 2017 read with sub-section (1) of section 18 of the State Goods and Services Tax Act, 2017 of the concerned State, section 20 of the Integrated Goods and Services Tax Act, 2017 and section 21 of the Union Territory Goods and Services Tax Act, 2017 leading to reduction of Integrated Tax shall be in FORM GST STL - 5.02.

**Note:** The summary of reduction in amount to be credited to State Tax or Union Territory Tax and Central Tax shall be reflected at S.No.1 of FORM GST STL - 5.01;

(ii) list of registered taxpayers where Integrated Tax recovered under section 79 of Central Goods and Services Tax Act, 2017 and State Goods and Services Tax Act, 2017 of the concerned State (or section 21 of Union Territory Goods and Services Tax Act, 2017) or paid consequent to a demand raised by the proper officer is apportioned, and the amount so recovered is subsequently refunded pursuant to an appeal order, as provided under sections 107, 112, 113, 117 and 118 of the Central Goods and Services Tax Act, 2017 and the State Goods and Services Tax Act, 2017 of the concerned State (or section 21 of the Union Territory Goods and Services Tax Act, 2017), or where

the amount of Integrated Tax paid is subsequently refunded in terms of section 77 of the Central Goods and Services Tax Act, 2017 and the respective State Goods and Services Tax Act, 2017, as aforesaid, leading to reduction in Integrated Tax shall be in FORM GST STL - 5.03.

**Note:** The summary of reduction in amount to be debited to State Tax or Union Territory Tax and Central Tax shall be reflected at S.No. 2 of FORM GST STL - 5.01;

(iii) list of registered taxpayers where the liability of payment of Integrated Tax is reduced on account of any reason other than an amendment in the amount payable after the said payment has been made, on account of rectification of return as provided under sections 37, 38 and 39 of the Central Goods and Services Tax Act, 2017 and the State Goods and Services Tax Act, 2017 of the concerned State (or section 21 of the Union Territory Goods and Services Tax Act, 2017), where the excess Integrated Tax so paid has been apportioned, and the same is now required to be reduced from the Central Tax and State Tax or Union Territory Tax, shall be in FORM GST STL - 5.04.

**Note 1:** The summary of reduction in amount to be credited to State Tax or Union Territory Tax and Central Tax shall be reflected at S.No. 3 of FORM GST STL - 5.01.

**Note 2:** Reduction on account of amendment of tax payable necessitated by rectification of any return is settled by netting off values in the return and hence what will remain in FORM GST STL - 5.04 is the reduction in tax paid on account of any other reason only.

**9. Report relating to recovery of various taxes from refunds and transfer of amount within cash ledger.—** Report of settlement arising between Centre (Central Tax) and State (State Tax) or Centre (Union Territory Tax) or Centre (Cess) on account of, -

(a) recovery of any tax, interest, penalty, fees or any other amount from refund, in terms of subsection (10) of section 54 of the Central Goods and Services Tax Act, 2017 and State Goods and Services Tax Act, 2017 of the concerned State read with section 21 of the Union Territory Goods and Services Tax Act, 2017; and

(b) transfer of amounts from one head of the electronic cash ledger of a registered person to another head of the said registered person or to the electronic cash ledger of another distinct person as specified in sub-section (10) of section 49 and section 53A of the Central Goods and Services Tax Act, 2017 read with sub-section (10) of section 49 and section 53A of the State Goods and Services Tax Act, 2017 of the concerned State and section 17A of the Integrated Goods and Services Tax Act, 2017,

shall be transmitted by the common portal in FORMS GST STL - 6.01 to GST STL - 6.05, as follows, namely:—

(i) summary of the amount recovered from the refund claimed by taxpayer and amount transferred from one head to another of the electronic cash ledger of the registered person or from one head to another of the electronic cash ledger of a distinct person shall be in FORM GST STL - 6.01 and details provided as under;

(A) list of taxpayers from whose refund amount of any liability has been recovered shall be in FORM GST STL - 6.02 and major or minor head wise summary thereof shall be in FORM GST STL - 6.02A; and

(B) list of taxpayers who have made inter head transfer of amount within cash ledger shall be in FORM GST STL - 6.03 and major or minor head wise summary thereof shall be in FORM GST STL - 6.03A and State-wise summary shall be in FORM GST STL - 6.05;

(ii) summary of refunds of State Tax or Union Territory Tax disbursed by the Centre shall be transmitted to the Central Government in FORM GST STL -6.04 along with a taxpayer-wise list

thereof in Form GST STL - 6.04A.

**Note:** FORM GST STL - 6.04 is not part of the settlement process but the report is transmitted to the Department of Revenue.

**10. Consolidated Settlement Report for each State and Union Territory and for Centre.—** (1) A monthly Consolidated Settlement Report for each State and Union Territory, in FORM GST STL - 7.01 shall be maintained providing information about transfer of funds to be made from State Tax or Union Territory Tax account to Integrated Tax account and from Integrated Tax account to State Tax or Union Territory Tax account based on the consolidated summary of settlement details contained in FORMs GST STL - 1.01, 3.01, 4.01 and 5.01.

(2) A monthly Consolidated Settlement Report for the Centre, in FORM GST STL - 7.02 shall be maintained providing information about transfer of funds to be made from Central Tax account to Integrated Tax account and from Integrated Tax account to Central Tax account based on the consolidated summary of settlement details contained in FORMs GST STL - 1.01, 2.01, 3.01, 4.01 and 5.01.

**11. Other provisions.—** (1) The Principal Chief Controller of Accounts shall, on the receipt of above reports, calculate the net payment to be made from the Integrated Goods and Services Tax account to each State or vice versa and shall send to the Department of Revenue a State-wise summary of the same within three working days of receipt of the data from Goods and Services Tax Network and thereafter, based on receipt of this data, a provisional sanction order for the month shall be issued by the Department of Revenue as per the procedure specified in sub-rule (2).

(2) The procedure for resolution of any discrepancy in the data provided by Goods and Services Tax Network shall be as follows, namely:—

(a) on the basis of the above reports provided by Goods and Services Tax Network for every month, the Central and respective State Accounting Authorities, the Board and the State Tax nodal authorities shall reconcile the details of the payments received, Input Tax Credit cross-utilisation, reversal and declarations thereof, and apportionment details received from Goods and Services Tax Network, and shall revert to Goods and Services Tax Network and Principal Chief Controller of Accounts in case of any discrepancy by the 20th of the subsequent month;

(b) if any discrepancy is pointed out by the Central or State Accounting Authority or Taxation Authority within this period, the Goods and Services Tax Network shall look into it and prepare a Revised Calculation, if required and send it again to both the Central as well as State Accounting, Taxation Authorities and Principal Chief Controller of Accounts by 25th of the said subsequent month;

(c) based on the revised calculation received from Goods and Services Tax Network and after having reconciled the discrepancy referred to in clauses (a) and (b), in case any changes have been made with respect to any State, the Principal Chief Controller of Accounts shall calculate the net payment to be made from Integrated Goods and Services Tax account to each State or vice versa and shall send to Department of Revenue a final State-wise summary of the same within three days of receipt of the revised data from Goods and Services Tax Network and based on receipt of this data a final sanction order for the month shall be issued by the Department of Revenue as per the following procedure namely:—

(i) the Principal Chief Controller of Account shall send to Department of Revenue, Ministry of Finance the details of the State-wise fund settlement with States;

(ii) a designated officer in the Department of Revenue shall issue the sanction order of funds to be transferred from Integrated Goods and Services Tax account to each State or vice versa after obtaining necessary approvals of the competent authority;

(iii) the provisional sanction order for each month for each State shall be issued based on details issued by Principal Chief Controller of Accounts as per sub-rule (1);

(iv) the final sanction order for each month for each State, in case needed, shall be issued based on details issued by Principal Chief Controller of Accounts as per clause (b);

(v) the sanction orders shall be issued within three days of receipt of details of the State-wise fund settlement issued by Principal Chief Controller of Accounts;

(vi) the electronic Sanction (digitally signed) addressed to Central Accounting Authority containing State-wise details shall then be sent to the Office of Principal Chief Controller of Accounts, Central Board of Indirect Taxes and Customs;

(vii) the sanction letter shall also contain the details of settlement and it shall be available in records of State Government for future reconciliation and audit purposes;

(viii) the State Governments shall be informed about the fund being transferred by Centre through the sanction;

(ix) a copy of sanction shall also be endorsed to concerned State Accountant General;

(x) the Central Accounting Authority shall generate an Inter Government Advice on the basis of sanction received from Department of Revenue and send it to the Reserve Bank of India [Central Accounts Section, Nagpur] electronically within three days of issue of sanction order;

(xi) the Reserve Bank of India shall make the necessary fund settlement between the Consolidated Fund of India and the Consolidated Fund of States of the respective State, on the basis of electronic Inter Government Advice; generate the ‘Clearance Memo’ and transmit the same to Central Accounting Authority and State Accounting Authorities and Accountant General;

(xii) the Central Accounting Authority shall make appropriate accounting entries at the time of issuance of inter Government Advice to Reserve Bank of India;

(xiii) the respective State Accounting Authority and Accountant General shall make appropriate accounting entries at the time of receipt of clearance Memo from Reserve Bank of India.

(d) The procedure for resolution of any discrepancy in respect of lists generated in accordance with the Standard operating Procedure, shall be as follows, namely:—

(i) on receipt of the reports generated in accordance with the Standard Operating Procedure provided by Goods and Services Tax Network for every month, the State Tax nodal authorities shall reconcile the details of the payments received, Input Tax Credit cross-utilisation, reversals and declarations thereof and apportionment details as received from Goods and Services Tax Network, and where any discrepancy is noticed in respect of the said reports, the concerned nodal authority shall communicate the same to the Goods and Services Tax Network their findings with respect to the said discrepancy, attaching thereto a detailed explanation in support of their findings, along with the necessary evidence and documents, if any, connected to the said matter, as far as possible, within a period of three months from the end of the month in which the reports are received;

(ii) the communication, findings, explanation and the evidence and documents referred to in sub-clause (i) above shall be examined in detail by Goods and Services Tax Network, as far as possible, within a period of three months from the end of the month in which the said communication is received, and where the explanation is borne out from the records and other evidence, if any, in connection with the matter under examination, any amount found eligible

for settlement shall be included in the reports of the period immediately succeeding the period in which the examination was concluded:

(iii) Provided that where only a part of the amount excluded from the reports is borne out from the records and other evidence, if any, in connection with the matter under examination, only so much of the amount as is so borne out shall be included in the report of the succeeding period, as aforesaid.

**[F. No. S-31011/96/2025-ST-I-DoR]**

**MUTHURAMAN C., Under Secy.**